192 MILLION — No. of demat accounts by FY25; 35% yearly growth since FY20

₹74.4 LAKH CRORE — Total assets under management (AUM) of the mutual fund industry on Jun. 30

up from 20 per cent a decade ago. Along with high net-worth individuals (HNIs), they together constitute 63 per cent of the total AUMs.

This shift reflects a deeper change in mindsets. For decades, Indian households favoured fixed deposits, gold or real estate as the safe, steady and familiar investment options. Such household savings were once the bedrock of India's economic resilience. But, with inflation eroding real returns, digital access rising and financial content flooding YouTube and WhatsApp, a new playbook started taking shape. The result is that household financial savings as a share of the GDP fell from 22.7 per cent in FY21 to 18.5 per cent in FY25. This is well below the post-liberalisation average of 20.5 per cent. But much of that money hasn't disappeared. It has simply moved to the stock market. As a result, what was once the realm of institutional giants and savvy brokers is now teeming with first-time investors that include schoolteachers, small business owners, salaried workers and professionals from different walks of life, several of whom have earned the right to be called HNIs.



"THE MIDDLE CLASS HAS BECOME THE NEW BULL DRIVING THE INDIAN STOCK MARKET. IT IS ACTIVELY DRIVING LIQUIDITY AND COUNTERING FII OUTFLOWS"

MADHUSUDAN KELA, *Promoter, MK Ventures*

Another gauge of this movement is the boom in Systematic Investment Plans or SIPs, the disciplined monthly contributions that build long-term wealth. SIP investments touched Rs 27,269 crore per month in Q1FY26, up from Rs 8,055 crore in FY19. There are now 92 million SIP accounts in India, 86.4 million of them actively contributing, making up 38 per cent of all MF folios. The appetite for risk, though, is greater than what MFs can sate. Retail investors now make up nearly half of all trades in the stock market's cash segment, up from one-third in FY19. Even in the adrenaline-charged world of futures and options (F&O), their footprint has more than doubled, from 20 per cent to 44 per cent in the same period.

In short, they're not just investing, but experimenting, day-trading, hedging and learning. And patiently enough to have become a major stabilising force for India's stock market. "The middle class is no longer a passive saver; it is actively driving liquidity, sentiment and price discovery in the Indian stock market," explains veteran investor Madhusudan Kela, promoter of MK Ventures. "With sustained SIP growth, widening regional participation and the ability to counteract FII (foreign institutional investors) outflows, the Indian middle class has indeed become the new bull powering Dalal Street."

THE SMALL INVESTOR SURGE

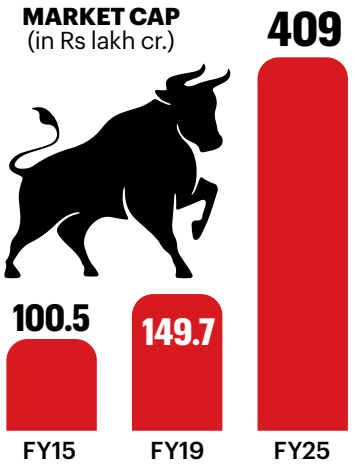
The average age of new investors has dropped to just over 28 years. Nearly 24 per cent of new demat account-holders are women, a sharp rise from 16 per cent in 2019. This isn't just a metro story confined to, say, a Delhi or Mumbai; the heart of this explosive growth is coming from Tier-2 towns and semi-urban India—from Surat's back offices to Coimbatore's cafes, from Indore's coaching classes to Bhubaneswar's software hubs. Maharashtra still leads in absolute investor numbers, but Gujarat's entrepreneurial spirit and Tamil Nadu's digital edge are rapidly narrowing the gap (see *New Bulls, New Turf*). The flood waters have

THE RETAIL BOOM

AS DEMAT ACCOUNTS MULTIPLY, AND SIPs AND MFs GATHER PACE, SMALL INVESTORS STEER A BIG SHIFT FROM TRADITIONAL SAVINGS TO MARKET-LINKED ASSETS, LEAVING AN EVER-LARGER IMPRINT ON INDIA'S CAPITAL MARKETS

RISING STOCK

The market capitalisation of NSE-listed companies has grown fourfold over the past decade



FOR DECADES, FOREIGN PORTFOLIO INVESTORS ACTED AS THE MOOD-SETTERS OF INDIAN BOURSES. TODAY, THAT EQUATION HAS SHIFTED. THE REASON: A DEEP LAYER OF DOMESTIC RETAIL CAPITAL